Instructions

If an election has been made under paragraph 261(3)(b) of the Income Tax Act (Act) to report in a functional currency, state all monetary amounts in that functional currency, otherwise state all monetary amounts in Canadian dollars. Round all monetary amounts to the nearest Canadian dollar or functional currency unit, if applicable. Only certain corporations can elect to report in a functional currency. See the CRA publication Income Tax Folio S5-F4-C1, Income Tax Reporting Currency at: canada.ca/cra-income-tax-reporting-currency.

Part II – Non-resident information

Q.1., Q.2. and Q.3. Enter the name, TIN and address of the non-resident. For the list of country codes, go to **canada.ca/cra-country-codes**.

Q.4. State the type of relationship that exists between the reporting person/partnership and the non-resident. The CRA needs the relevant financial statements (in English or French) of the non-resident if the non-resident is controlled by the reporting person or partnership and is resident in a non-treaty country. Canada has income tax conventions (treaties) with more than 90 countries. These include the United States, the United Kingdom, France, Japan, and Australia. For information about the countries with which Canada has concluded an income tax treaty, go to **canada.ca/en/department-finance/programs/tax-policy/tax-treaties**.

Q.5. State the main business activities for the transactions reported in Part III by entering the appropriate NAICS codes. The current NAICS codes can be found at **www23.statcan.gc.ca/imdb/p3VD.pl?Function=getVD&TVD=1181553**. You can enter more than one code.

Q.6. State the main countries for the transactions reported in Part III by entering the appropriate country code. You can enter more than one code. For the list of country codes, see the information provided under Q1., Q2. and Q3. above.

Q.7. Enter **yes** or **no** to the question. In general, subsection 247(4) of the Act relates to the requirement to maintain and make available to the Minister contemporaneous transfer pricing documentation. You can find more information on contemporaneous documentation at **canada.ca/cra-transfer-pricing** by going to the "Documentation Requirements" section and clicking on the "contemporaneous documentation" link.

Part III – **Transactions between reporting person/partnership and non-resident**

Enter the amount (rounded to the nearest Canadian dollar or functional currency unit, if applicable) for the transactions in Part III. Only record in Part III those amounts that apply to the non-resident described in Part II. Report gross amounts in the two columns.

The "Sold to non-resident" and "Revenue from non-resident" refers to gross sales and revenue received from non-arm's length transactions with non-residents. For example, this includes transactions related to exports from Canada and services provided to the non-resident.

The "Purchased from non-resident" and "Expenditure to non-resident" refers to gross purchases and expenditures made relating to non-arm's length transactions with non-residents. For example, this includes transactions related to imports into Canada and services provided by the non-resident.

For the banking industries, the line for "Stock in trade/raw materials" must be used to report bonds, debentures, loans, mortgage transactions. The normal interest income and expense on loans and advances with the non-arm's length non-resident(s) must be reported in the Financial section.

Part IV – Indebtedness, investments and similar amounts

Subsection 15(2) of the Act can apply to a non-resident shareholder of a Canadian resident corporation, in which case, the debt is treated as a deemed dividend subject to non-resident withholding tax. Where a corporation resident in Canada (CRIC) is controlled by a non-resident corporation, subsection 212.3(2) of the Act contains similar rules (the foreign affiliate dumping rules) to deem certain amounts owing by a foreign affiliate of the CRIC to be a dividend paid to the non-resident shareholder.

The election to treat the debts as a PLOI, is a choice the non-resident shareholder and the CRIC can make to avoid the deemed dividend treatment and the withholding tax liability that would otherwise result. You can find more information on PLOI, at **canada.ca/en/revenue-agency/services/tax/businesses/topics/corporations/corporation-payments/understanding-interest.html#Ins**.

State whether a PLOI election was made and if so, provide the deemed interest amount included as taxable income for the tax year or fiscal period.

Part V – Derivatives

The column for "Notional Amount" applies to swap transactions. The terms used in this section are described below:

Descriptions

101 Interest Rate Contracts
This section includes
- forward rate arrangements
- swaps
- options purchased
- options written

102 Foreign Exchange Contracts
- forward contacts
- cross currency swaps
- cross currency interest rate swaps
- options purchased
- options written

103 Credit Contracts
- risk transfer arrangements

104 Equity Contracts
- includes contracts used to transfer the economic benefits of securities and debt instruments

105 Commodity Contracts
- includes swaps, forward contracts and options

106 Index Contracts
- includes all contracts that derive their value from publicly traded indices

107 Fees (including commissions)
- any fee or commission charged on derivative transactions

108 Other Payments/Receipts
- other payments and receipts not identified above

Do you need more information?

If you need more information, go to **canada.ca/taxes** or call **1-800-959-5525** for enquiries. For detailed information about completing the form, contact your tax services office (TSO). TSO contact information can be found at **canada.ca/cra-tso-contact-information**.

Canada Revenue Agency | Agence du revenu du Canada

Information Return of Non-Arm's Length Transactions with Non-Residents (2022 and later tax years)

T106 Information and Instructions

Purpose

The T106 Summary and Slips are annual information returns used to report non-arm's length transactions between reporting persons or partnerships and non-residents under section 233.1 of the Income Tax Act (Act). The T106 Summary and Slips are prescribed forms.

For greater certainty, where any reporting person or partnership and any non-arm's length non-resident person or partnership are participants in a transaction or series of transactions and as a result, any amount referred to in Parts III, IV, V or VI is arranged with, paid to or received from, an arm's length entity, these amounts must be reported.

Definitions

Under section 233.1 of the Act:

A **"reporting person"** for a taxation year means a person (corporation, trust or individual) who, at any time in the year,

(a) is resident in Canada; or

(b) is non-resident and carries on business (other than a business carried on as a member of a partnership) in Canada.

A **"reporting partnership"** for a fiscal period means a partnership

(a) a member of which is resident in Canada in the period; or

(b) that carries on business in Canada in the period.

A **"reportable transaction"** means

(a) in the case of

(i) a reporting person for a taxation year who is not resident in Canada at any time in the year, or

(ii) a reporting partnership for a fiscal period no member of which is resident in Canada in the period,

a transaction or a series of transactions that relate in any manner whatever to a business carried on in Canada by the reporting person or partnership in the year or period or a preceding taxation year or period; and

(b) in any other case, a transaction or series of transactions that relate in any manner whatever to a business carried on by a reporting person (other than a business carried on by a reporting person as a member of a partnership) or partnership in a taxation year or fiscal period.

The terms **arm's length** and **non-arm's length** are discussed in Income Tax Folio S1-F5-C1, Related Persons Dealings at Arm's Length. Refer also to sections 251 and 252 of the Act.

Who has to file a T106 information return

A reporting person has to file a T106 information return for a tax year in respect of reportable transactions in which the reporting person and the non-arm's length non-resident person (or partnership of which that non-resident person is a member) participated in the period. The reporting person has to file the a T106 information return if the amount of the total reportable transactions for all the non-residents combined is **more than CAN$1,000,000 (i.e., the total of all Box I amounts is more than CAN$1,000,000)**.

A reporting partnership has to file a T106 information return for a fiscal period in respect of reportable transactions in which the reporting partnership and the non-arm's length non-resident person (or partnership of which the non-resident person is a member) participated in the period. The reporting partnership has to file the a T106 information return if the amount of the total reportable transactions for all the non-residents is **more than CAN$1,000,000 (i.e., the total of all Box I amounts is more than CAN$1,000,000)**. File a T106 information return for the partnership only and not for each partner.

Where a reporting person or partnership's total amount of the transactions with a particular non-resident during the taxation year is below CAN$100,000 there is no need to report these transactions in Part III of the T106 Slip. Please see the notice at **canada.ca/cra-de-minimis-policy-t106** for additional information. The revised threshold of CAN$100,000, for reporting transactions in Part III, applies only to tax years or fiscal periods that begin in 2022 and later years/periods.

Branches

A Canadian branch of a foreign-based corporation or a foreign-based branch of a Canadian corporation does not have to file a T106 information return for notional transactions. For the purposes of the Act, the corporation and its branches are considered to be the same person. However, non-arm's length transactions between a branch and a non-arm's length party have to be reported in the reporting person's/partnership's T106 information return.

When to file

T106 information returns have to be filed on or before the following dates:

Corporations – six months after the end of the tax year.

Partnerships – the due date is the same as the due date for filing a partnership information return under section 229 of the Income Tax Regulations. If no partnership information return has to be filed, the reporting partnership's due date is the day by which the partnership information return would be required to be filed if section 229 did apply to the reporting partnership.

Trusts – 90 days after the end of the tax year.

Individuals – April 30 after the end of each calendar year. For individuals who are self-employed, or individuals whose spouse is self-employed, the filing due date is extended, as with their T1 individual income tax returns, to June 15 after the end of the calendar year.

For short tax years/fiscal periods, the T106 information return is due at the same time as the filing due date of the T1, T2, and T3 income tax returns or the T5013 information return. For short tax years/fiscal periods which together do not exceed 12 months, one set of T106 Summary and Slips is enough if the information for the tax years/fiscal periods is detailed in a letter that must accompany the T106 information return.

What to file

Each reporting person or partnership has to file one T106 Summary, as well as a separate T106 Slip for each non-resident. The information reported in the T106 information return is filed in respect of the corporation, partnership, trust or individual and not by sub-division, cost centre or individual partner.

Where to file

Partnerships can EFILE and NETFILE T106 information returns electronically for the 2017 and later fiscal periods. Corporations can EFILE T106 information return electronically for the 2015 and later tax years. Corporations and partnerships can attach supporting documentation such as financial statements related to EFILED foreign reporting returns, via the tax preparation software with the electronic Submit documents service. Individuals and trusts have to paper file the T106 information return. T106 information returns have to be filed separately from the income tax return. Do not attach a T106 information return to your income tax return. For the most up to date information about who can EFILE a T106 information return, see the "What's new" information on the T106 page at **canada.ca/en/revenue-agency/services/forms-publications/forms/t106**. T106 information returns can also be mailed to the Winnipeg Taxation Centre, Data Assessment & Evaluation Programs, Validation & Verification Section, Foreign Reporting Returns, 66 Stapon Road, Winnipeg MB R3C 3M2.

Penalties

Late Filing – A late filing penalty, or multiple late filing penalties for more than one T106 Slip may be assessed under subsection 162(7) of the Act where a T106 information return is filed after the due date. The penalty is equal to the greater of CAN$100 and CAN$25 per day, as long as the failure to file continues, to a maximum of 100 days.

Failure to file – A failure to file penalty may be assessed under subsection 162(10) of the Act where reporting persons or partnerships knowingly or under circumstances amounting to gross negligence, fail to file or fail to comply with a request by the CRA for a T106 information return. The minimum penalty is CAN$500 per month, to a maximum of CAN$12,000 for each failure to comply. Where the CRA has served a demand to file a T106 information return, the minimum penalty is CAN$1,000 per month, to a maximum of CAN$24,000 for each failure to comply.

False statement or omission – A false statement or omission penalty may be assessed under subsection 163(2.4) of the Act where information provided on the T106 Summary or Slip is incomplete or incorrect. The penalty is CAN$24,000.

(Ce formulaire est disponible en français.)

Canada

Transfer Pricing Methods (TPM)

Use the codes listed below to reflect the main TPM.

1	Comparable Uncontrolled Price
2	Cost-Plus
3	Resale
4	Profit Split
5	Transactional Net Margin
6	Qualifying Cost Contribution Arrangement
7	Other

You can find more information on TPMs at: **canada.ca/cra-transfer-pricing**.

Privacy Notice

Personal information is collected under the authority of the Income Tax Act and is used for the administration and enforcement of the Act, including assessments, audits, enforcement actions, collections, and appeals. The information collected may be shared and/or verified with federal, provincial, territorial, or foreign government institutions to the extent authorized by law. Incomplete or inaccurate information may result in interest payable, penalties or other actions.

The social insurance number is collected for income tax purposes under section 237 of the Income Tax Act and is used for identification purposes.

Under the Privacy Act, individuals have a right of protection, access to and correction of their personal information, or to file a complaint with the Privacy Commissioner of Canada regarding the handling of their personal information. Refer to Personal Information Bank CRA PPU 035 at **canada.ca/cra-information-about-programs**. More information about requesting access to information can be found at **canada.ca/atip**.